COURSE

Pearson Edexcel International Advanced Level in Business (XBS11 / YBS11)

Theories of corporate strategy

Unit 3: Business decisions and strategy · 3.3.1 Business objectives and strategy

Revision for Unit 3: Business decisions and strategy: each firm works it out on its own deals.

Class	Topic
Pearson Edexcel International A level Business (IAL)	**Theories of corporate strategy**

THE LESSON

Setup	3 min

Round 1 — Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	**Deals**	**Topic task 1**	**Topic task 2**

Round 2 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

Firm decisions	**Deals**	**Topic task 3**	**Topic task 4**	**B2B deal**

Round 3 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

Firm decisions	**Deals**	**Topic task 5**	**Topic task 6**	**B2B deal**

Final questions	3 min

Fits a 30-minute lesson setting; longer settings add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments FROM ROUND 2	Buy property or funds. The value can rise or fall.
Operations	**Seasonal stock**	Order the season's cars in advance.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

You launch a monthly subscription service for your existing customers.

Which Ansoff strategy is this?

PICK ONE

- ○ Diversification
- ○ Market development
- ○ Market penetration
- ✔ **Product development**

Why: A new service for existing customers is product development.

Task 2

ROUND 1

You compete with the best service and longest warranty in town.

Which two must be true for this to pay?

PICK TWO

- ○ Buyers choose on price alone
- ✔ **Buyers will pay more for it**
- ✔ **Rivals find it hard to copy**
- ○ Your costs are the lowest in town
- ○ Your prices are below rivals'

Why: A difference pays only if buyers value it and rivals cannot copy it.

Task 3

ROUND 2

Three dealers: their price and cost per car.

Order by profit per car, highest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Price £18,000, cost £14,000**
2. **Price £20,000, cost £16,500**
3. **Price £24,000, cost £21,000**

Why: £4,000, £3,500, £3,000: the cheapest dealer earns most per car.

Task 4

ROUND 2

A plan to have the lowest costs in town.

New profit per car?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Price per car now	**£18,500**
Cost per car now	**£15,500**
Price cut	**2%**
Cost cut	**10%**

METHOD

Profit per car = price after the cut – cost after the cut

£18,500 × 98% − £15,500 × 90% = £4,180

Why: Lowest costs let you price below rivals and still earn more per car.

Task 5

ROUND 3

Your share of the local market is 40%, and the market has stopped growing.

Where should you grow, and why?

PICK A OR B AND GIVE A REASON

- ○ Harder in the local market
- ✔ **In a new region**

Why: In a flat market where you hold 40%, more sales must come from rivals.

Task 6

ROUND 3

Your costs are above the discount dealer's, and your service is no better than rivals'.

What does Porter call this, and its risk?

PICK ONE

- ○ Cost focus: high profit
- ○ Cost leadership: low profit
- ○ Differentiation: high profit
- ✔ **Stuck in the middle: low profit**

Why: No cost lead and no clear difference: stuck in the middle, with low profit.

Final questions

6
questions for each pupil

129
Level 3 Business questions

9
of them on theories of corporate strategy

The game draws 6 of the 129 Level 3 questions; these 9 are about theories of corporate strategy.

1 A dealer aims to raise market share without cutting its gross profit margin. Which measure best tests both parts?
Compare market share and gross margin with the previous period.

2 A dealer group swaps 'grow quickly' for 'open two profitable North West branches by December 2028'. Why is this objective stronger?
It is specific, measurable and time-bound, so progress can be tested.

3 A dealer group seeks fast regional growth, but its owners also require a minimum liquidity buffer. Strongest planning approach?
Pair the growth target with a cash limit; test scenarios.

4 An online marketplace connects many sellers directly with buyers. Which Five Forces effect most threatens a weakly differentiated traditional dealer?
Buyer power and rivalry may rise.

5 A model's sales have levelled off, most target customers know it, and rivals offer close alternatives. Which life cycle response is most coherent?
Defend profitable segments, refresh differentiation or plan replacement on evidence.

6 A small dealer cannot match a platform's scale but has trusted expertise in wheelchair-accessible vehicles. Most defensible position?
Focus on the specialist niche.

7 A dealer group doubles its branches in a year. Sales and profit rise, but it cannot pay suppliers on time. What is this?
Overtrading: growth has outrun its working capital.

Final questions

8 A dealer has strong electric-vehicle expertise but weak capital reserves. Which strategic choice best uses the evidence?

A focused EV service niche at small scale.

9 Four town dealerships describe what makes them different. Which statement is a unique selling point?

"We are the only county garage approved to service these electric vans."